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Case Number: 25NNCV03997 Hearing Date: August 7, 2026 Dept: A

TENTATIVE RULING

AUGUST 7, 2026

DEMURRER; MOTION TO STRIKE

Los

Angeles Superior Court Case # 25NNCV03997

MP: Plaintiff/Cross-Defendant

W.M. Klorman Construction Corporation

RP: Defendant/Cross-Complainant

American Ironworks Manufacturing, Inc.

NOTICE:

The Court is not requesting oral argument on this matter. The Court is guided by California Rules of Court, Rule 3.1308(a)(1) whereby notice of intent to appear is requested. Unless the Court directs argument in the Tentative Ruling, no argument is required and any party seeking argument should notify all other parties and the court by 4:00 p.m. on the court day before the hearing of the party's intention to appear and argue. The tentative ruling will become the ruling of the court if no argument is received.

Notice may be given

either by email at or by telephone at (818) 260-8412.

ALLEGATIONS:

A.

Complaint

W.M. Klorman

Construction Corporation ("Plaintiff" or "Klorman") alleges it solicited and relied on a subcontractor bid and subsequent Best and Final Offer ("BAFO") from American Ironworks Manufacturing, Inc. ("Defendant" or "AIM") for the metal works scope of a construction project at the VA Medical Center in Long Beach. After Plaintiff was awarded the prime contract, it accepted Defendant's BAFO and worked for months on project planning, Requests for Information, and submittal packages. However, after nearly a year of performance and after Plaintiff accepted all requested commercial changes, Defendant abruptly raised new objections, refused to proceed, and ultimately walked away from the project, forcing Plaintiff to secure a replacement subcontractor at a significantly higher cost.

The Complaint, filed June

10, 2025, alleges: (1) Promissory Estoppel; (2) Breach of Contract; and (3) Breach of the Implied Covenant of Good Faith and fair Dealing.

B.

Operative Cross-Complaint

On March 30,

2026, Defendant AIM filed a Second Amended Cross-Complaint ("SAXC") against Plaintiff Klorman for: (1) Deceit; (2) Reasonable Value of Goods and Services Rendered; and (3) Declaratory Relief.

AIM alleges that

in 2024, Klorman provided specifications and asked AIM to provide a bid for certain metal works on the VALB Parking Structure Project in Long Beach. (SAXC, ¶5.) AIM prepared and submitted a bid to Klorman, Klorman made changes to the specifications regarding galvanizing, and AIM provided Klorman a further revised bid which excluded galvanizing, metalizing, and powder coating unless noticed in scope. (Id., ¶6.) After further discussions, AIM provided third and fourth revised proposals with the same exclusions. (Id., ¶7.) Despite numerous communications regarding a possible subcontract on the project, AIM contends that William M. Klorman (CEO

and President of Klorman) refused to cooperate with AIM in providing it with a subcontract that matched AIM's revised proposals. (Id., ¶8.) Due to Klorman's failure to address AIM's concerns regarding galvanizing, surface preparations regarding steel, and bonding, the parties did not enter a contract.

(Id., ¶9.) AIM alleges that it spent hours reviewing Klorman's bid package, preparing and revising the proposals, and communicating with Klorman, thereby incurring modeling and engineering costs, submittal costs, and material purchase and fabrication and delivery costs. (Id.)

MOTIONS ON CALENDAR:

On April 29, 2026, Plaintiff Klorman filed a Demurrer and Motion to Strike Defendant's SAXC. On July 27, 2026, Defendant AIM filed opposition. On July 31, 2026, Plaintiff Klorman filed replies.

LEGAL STANDARD:

A.

Demurrer

The grounds for a demurrer must appear on the face of the pleading or from judicially noticeable matters. (C.C.P. § 430.30(a); Blank v. Kirwan (1985) 39 Cal. 3d 311, 318.) A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) The only issue involved in a demurrer hearing is whether the complaint states a cause of action. (Id.)

A demurrer

assumes the truth of all factual, material allegations properly pled in the challenged pleading. (Blank, supra, 39 Cal. 3d at p. 318.) No matter how unlikely or improbable, the plaintiff's allegations must be accepted as true for the purpose of ruling on the demurrer. (Del E. Webb Corp. v. Structural Materials Co. (1981) 123 Cal. App. 3d 593, 604.) But this does not include contentions; deductions; conclusions of fact or law alleged in the complaint; facts impossible in law; or allegations contrary to facts of which a court may take judicial notice. (Blank, supra, 39 Cal. 3d at 318.)

Pursuant to

C.C.P. §§ 430.10(e) and (f), the party against whom a complaint has been filed may demur to the pleading on the grounds that the pleading does not state facts sufficient to constitute a cause of action, or that the pleading is uncertain, ambiguous and/or unintelligible. It is an abuse of discretion to sustain a demurrer without leave to amend if there is a reasonable probability that the defect can be cured by amendment. (*Schifando v. City of Los Angeles* (2003) 31 Cal. 4th 1074, 1082.)

B. Motion to Strike

Motions to

strike are used to reach defects or objections to pleadings that are not challengeable by demurrer, such as words, phrases, and prayers for damages. (See C.C.P. §§ 435, 436, and 437.) The proper procedure to attack false allegations in a pleading is a motion to strike. (C.C.P. § 436(a).) In granting a motion to strike made under C.C.P. § 435, “[t]he court may, upon a motion made pursuant to Section 435 [notice of motion to strike whole or part of complaint], or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading.” (C.C.P. § 436(a).) Irrelevant matters include immaterial allegations that are not essential to the claim or those not pertinent to or supported by an otherwise sufficient claim. (C.C.P. § 431.10.)

The court may

also “[s]trike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” (C.C.P. § 436(b).)

MEET AND

CONFER:

C.C.P. §§

430.41(a) and 435.5(a) require that the moving party meet and confer with the party who filed the pleading that is subject to the demurrer and/or motion to strike. Upon review, the Court finds the meet and confer requirements were met. (See *Schiedermayer Demurrer Decl.*, ¶¶3-5, Ex. 1; *Schiedermayer MTS Decl.*, ¶¶3-5, Ex. 1.)

ANALYSIS RE DEMURRER:

Plaintiff Klorman demurs

to the First, Second, and Third Causes of Action in Defendant's SAXC.

A.

First Cause of Action

for Deceit – Sustained with Leave

to Amend

The elements for fraud are: (1) a representation, usually of fact, which is false; (2) knowledge of its falsity; (3) intent to defraud; (4) justifiable reliance upon the misrepresentation; and (5) damage resulting from that justifiable reliance. (*Stansfield v. Starkey* (1990) 220 Cal. App. 3d 59, 72-73.) This cause of action is a tort of deceit and the facts constituting each element must be alleged with particularity; the claim cannot be saved by referring to the policy favoring liberal construction of pleadings. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216.) Since the claim must be pleaded with particularity, the cause of action based on misrepresentations must allege facts showing how, when, where, to whom, and by what means the misrepresentations were tendered. (*Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73.)

In the First Cause of Action, AIM alleges that by inviting AIM to present a bid on the project, "Klorman represented that if [AIM] would provide a bid based on the specifications provided by Klorman to [AIM], [AIM] would have an opportunity to be awarded the metal works scope of work as a subcontractor to Klorman for the Project." (SAXC, ¶11.) AIM alleges Klorman's representations were false as Klorman and Mr. Klorman had no intention of contracting AIM based on AIM's provided specifications, but intended to add requirements regarding galvanizing and surface preparations regarding steel that were not in the specifications provided to AIM. (*Id.*, ¶12.) AIM alleges the parties sent multiple emails whereby AIM did not agree to the additional scope, while Mr. Klorman stated AIM would be bound to galvanize without additional compensation. (*Id.*) AIM contends Klorman knew from the beginning of the bid process that AIM would not provide galvanizing work unless specifically noted in scope, but Klorman "deceitfully" pressed AIM to sign a subcontract for the project where AIM would be required to perform galvanizing for no extra compensation, but required AIM to post a surety bond. (*Id.*) AIM alleges that Klorman, through Mr. Klorman, represented AIM would have the opportunity to be awarded the metal works scope of work subcontract if it provided a bid, but this was false,

Klorman intended to deceive AIM and induce AIM to spend time and costs to submit the bid, and Klorman knew it would not provide a subcontract to AIM that would match AIM's bid. (Id., ¶13.) AIM alleges it was ignorant of its falsity and was induced to spend time and incur costs to submit a bid in reliance on Klorman and Mr. Klorman's misrepresentations. (Id., ¶14.) AIM claims damages in the amount of \$96,068.75 for the lost bid. (Id., ¶15.)

Klorman demurs to the First Cause of Action, arguing that AIM has not alleged specific facts supporting each Fraud element.

AIM has not alleged the misrepresentation element with the requisite particularity. Paragraph 11 only alleges the nature of the misrepresentation, but fails to allege specific facts including how, when, where, to whom, and by what means the misrepresentations were tendered.

To the extent AIM relies on the parties' emails regarding the work/scope specifications and revised bids, the February 23 and 24, 2025 emails show that Mr. Klorman required a revised bid in order to reissue the subcontract for immediate execution, but Dan Boss of AIM disagreed stating they would not be adding galvanizing. (SAXC, ¶12, Exs. G-H.) The emails do not show any actionable misrepresentations. Furthermore, the proposals attached are dated March 19, 2024 (Ex. A), May 2, 2024 (Ex. B), May 7, 2024 (Ex. C), June 5, 2024 (Ex. D), and June 6, 2024 (Ex. E). Thus, the February 2025 emails post-date the four proposals, such that the emails fail to show how AIM relied on the emails if categorized as misrepresentations. Thus, the Fraud elements have not been met with respect to the emails.

The allegations regarding the element of knowledge of falsity also lacks specificity. AIM alleges that Klorman intended from the beginning of the bid process not to award the subcontract to AIM unless it included galvanizing work and post a surety bond, but these allegations are conclusory and are not supported by specific facts. While AIM provides the emails are dated months after the proposals, which does not indicate that Klorman had knowledge of the falsity of its representations or intended from the beginning not to accept AIM's bid.

As these elements

have not been adequately alleged, the remaining Fraud elements are lacking. Thus, the demurrer to the First Cause of Action is sustained with leave to amend.

B.

Second Cause of

Action for Reasonable Value of Goods and Services Rendered – Sustained with Leave to Amend

“To

recover on a claim for the reasonable value of services under a quantum meruit theory, a plaintiff must establish both that he or she was acting pursuant to either an express or implied request for services from the defendant and that the services rendered were intended to and did benefit the defendant.” (Ochs v. PacificCare of California (2004) 115 Cal.App.4th 782, 794.) “The theory of quasi-contractual recovery is that one party has accepted and retained a benefit with full appreciation of the facts, under circumstances making it inequitable for him to retain the benefit without payment of its reasonable value.” (Day v. Alta Bates Medical Center (2002) 98 Cal.App.4th 243, 248.) “[W]hen the services are rendered by the plaintiff to a third person, the courts have required that there be a specific request therefor from the defendant: [C]ompensation for a party’s performance should be paid by the person whose request induced the performance.” (Id. at 249 [internal quotation marks and citations omitted].)

In

the Second Cause of Action, AIM alleges that Klorman became indebted to AIM in the amount of at least \$96,068.75 for work, labor, services, and materials rendered by AIM to Klorman at Klorman’s special request. (SAXC, ¶17.) AIM contends Klorman asked AIM to provide a bid for the project’s metal works portion and AIM spent substantial time and effort preparing the bid and revisions, which Klorman changed at the time of presenting Klorman’s presentation of a subcontract to AIM to sign. (Id., ¶18.) AIM claims it incurred shop labor costs for the project, as WIM fabricated, loaded, and delivered metal embeds to the project site and fabricated bollards for the project at Klorman’s request. (Id.) AIM alleges it did not sign a subcontract due to the mismatch between the specifications bid upon, AIM’s bid presented to Klorman, and the subcontract tendered to AIM for signature. (Id., ¶19.) AIM is informed and believes that its bid

documents were of significant value to Klorman and assisted Klorman in retaining another subcontractor for the metal works scope of the project, such that Klorman was unjustly enriched by AIM's bid documents and fabrication and delivery of metal embeds. (Id.)

Based

on the SAXC's allegations, the Second Cause of Action fails to allege an express or implied request for services from Klorman. At most, the allegations and attached exhibits, taken as true, show that Klorman sought a subcontract bid for the project from AIM but the parties disagreed on the scope of work. While AIM alleges that Klorman requested the fabrication, loading, and delivery of metal embeds and the fabrication of bollards for the project, the allegations have no further supporting facts that this was an express request, or that Klorman impliedly requested such services during the parties' bid proposal/subcontract discussions and negotiations. Furthermore, as pointed out by Klorman in its demurrer, while AIM provides a Shipping List of the materials (dated December 18 and 19, 2024) (SAXC, Ex. F), there are no allegations that Klorman accepted, received, or used the materials and how it benefitted. (Dem. at p.12.)

The demurer to the

Second Cause of Action is sustained with leave to amend.

C.

Third Cause of Action

for Declaratory Relief – Sustained

with Leave to Amend

A cause of action for declaratory relief

is a remedy created by C.C.P. § 1060 and it is pleaded if it: (1) sets forth facts showing the existence of an actual controversy relating to the legal rights and duties of the respective parties and (2) requests that the rights and duties be adjudged. (City of

Tiburon v. Northwestern Pac. R.R. Co. (1970) 4 Cal.App.3d 160, 170; see

C.C.P. § 1060 [identifying the remedy of declaratory relief].) “[A]

request for declaratory relief will not create a cause of action that otherwise does not exist.’ Rather, ‘an actual, present controversy must be pleaded specifically’ and ‘the facts of the respective claims concerning the [underlying] subject must be given.’” (City

of Cotati v. Cashman (2002) 29 Cal.4th 69, 80 [internal quotation marks and citations omitted].)

In the Third Cause of

Action, AIM alleges that an actual controversy has arisen and exists between AIM and Klorman because AIM contends it is entitled to compensation from Klorman for its time and effort in bidding for the project, fabricating and delivering materials, and for lost profits if it was able to subcontract with Klorman for the project, and that it was within its rights to refuse to sign the subcontract when the parties' specification did not match. (SAXC, ¶21.)

AIM seeks a final declaration and determination regarding whether the subcontract Klorman provided AIM matched the specifications provided to AIM upon which AIM submitted its bids and whether the subcontract matched the bid provided by Aim to Klorman. (Id.,

¶22.) AIM also seeks a declaration and

determination regarding whether AIM is entitled to compensation from Klorman for the time Klorman caused AIM to waste and the costs incurred to bid and fabricate/deliver materials, when Klorman knew it would never provide a subcontract that matched AIM's bid documents. (Id.)

As alleged, AIM seeks

a declaration to redress past wrongs. "Declaratory relief generally operates prospectively to declare future rights, rather than to redress past wrongs" and is a remedy in the interests of "... preventative justice, to declare rights rather than execute them." (Jolley v. Chase Home Finance, LLC (2013) 213 Cal.App.4th 872, 909.) As currently stated, the declaratory relief claim fails to allege sufficient facts to amount to an actionable cause of action.

Thus, the demurrer to

the Third Cause of Action is sustained with leave to amend.

ANALYSIS RE MOTION TO

STRIKE:

Plaintiff moves to

strike portions of the SAXC in the First Cause of Action at paragraphs 15 and 21 seeking lost profits; and the Prayer's paragraphs 1 and 2 on the First Cause of Action seeking lost profits and punitive damages.

In light of the

ruling on the demurrer, the motion to strike is taken off-calendar as moot.

RULING:

In the event the parties submit on this tentative ruling, or a party requests a signed order or the court in its discretion elects to sign a formal order, the following form will be either electronically signed or signed in hard copy and entered into the court's records.

ORDER

Plaintiff/Cross-Defendant

W.M. Klorman Construction Corporation's Demurrer and Motion to Strike came on regularly for hearing on August 7, 2026, with appearances/submissions as noted in the minute order for said hearing, and the court, being fully advised in the premises, did then and there rule as follows:

The

DEMURRER TO THE SECOND AMENDED

CROSS-COMPLAINT is SUSTAINED WITH 30 DAYS' LEAVE TO AMEND.

THE MOTION

TO STRIKE THE SECOND AMENDED CROSS-COMPLAINT IS TAKEN OFF-CALENDAR AS MOOT.

THE CASE

MANAGEMENT CONFERENCE SET FOR SEPTEMBER 8, 2026 IS ADVANCED AND CONTINUED TO NOVEMBER 12, 2026 AT 9:00 AM.

PLAINTIFF/CROSS-DEFENDANT KLORMAN TO
PROVIDE NOTICE.

IT IS SO ORDERED.